

Weekly Market View

A tipping point?

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→ The Fed, under incoming Chair Kevin Warsh, is likely to keep policy rates steady as long as long-term inflation estimates stay anchored.

→ A US-China joint push following the Trump-Xi meeting could potentially lift the strait blockade, lowering oil prices, bond yields and the USD.

→ That would help sustain the rally in risk assets, particularly China and India equities which have missed this year's rally in Asia. Emerging Market bonds and AUD bonds are also likely to benefit.

→ Any prolonged strait blockade is a risk to our constructive outlook. We continue to hedge stagflation risks through US inflation-linked bonds, gold and alternative assets.

Bullish Hang Seng Tech index:
Reasonable valuations and
improving growth visibility

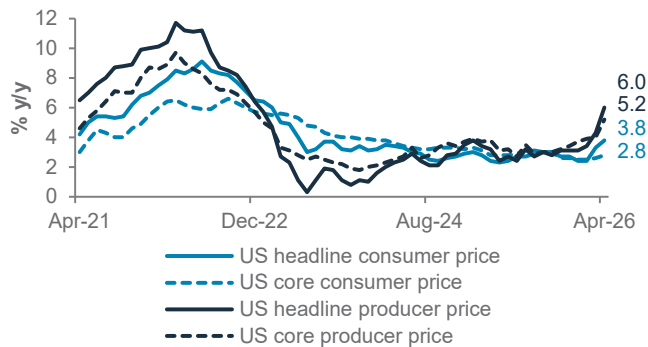
Bullish US inflation-protected
bonds: hedge against rising
inflation risks

Bullish AUD/JPY: AUD to
benefit from improving
commodity and China outlook

Charts of the week: Getting hotter

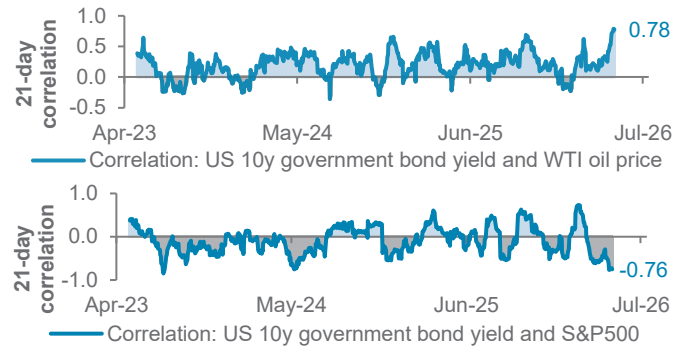
Higher oil prices are fuelling headline inflation and bond yields, but core consumer inflation remains relatively subdued

US headline and core consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Correlation between US bond yield and oil, equities



Editorial

A tipping point?

Strategy summary: The ongoing blockade of the Hormuz strait is reaching a tipping point as the summer holiday season approaches. The closure has fuelled headline US inflation but broader inflationary effects have yet to materialise. The Fed, under incoming Chair Kevin Warsh, is likely to keep policy rates steady as long as long-term inflation estimates stay anchored.

A US-China joint push following the Trump-Xi meeting could potentially lift the strait blockade, lowering oil prices, bond yields and the USD. That would help sustain the rally in risk assets, particularly China and India equities which have missed this year's rally in Asia. Emerging Market bonds and AUD bonds are also likely to benefit. A prolonged strait blockade is a risk to our constructive outlook. We continue to hedge stagflation risks through US inflation-linked bonds, gold and alternative assets.

Still pro-risk but avoid concentration: Equity markets have continued their rally, driven by optimism regarding improved US-China relations and strong earnings fundamentals. While the medium-term outlook remains constructive for risk assets, US equity market investor positioning is now less attractive than a month ago. Hence, we remain positioned to navigate volatility by minimising concentration risks. Meanwhile, firms with strong pricing power are expected to outperform if inflation persists. Broadening exposure to technology, especially internet industries, remains a preferred investment strategy.

Hot US inflation, resilient jobs: US inflation accelerated sharply in April due to higher energy costs. Despite these increases, secondary inflationary effects remain limited for now. Meanwhile, the US job market has rebounded from last year's downturn, with job creation stabilising the unemployment rate slightly above the Fed's long-run equilibrium. The resilience of consumer spending, aided by households dipping into savings, precautionary business purchases, wealth effect from booming equity markets, a US tax refund windfall, and an AI-driven investment boom, have supported growth. Yet these supports may fade if energy costs climb higher as inventories dwindle.

Not enough to move the Fed: Against this backdrop, the Fed is likely to keep interest rates steady. The bar for a rate hike is high; only a loss of confidence in long-term inflation expectations or an acceleration in wage growth would likely prompt action. Conversely, if the delayed effects of the oil shock undermine growth, the Fed may resort to cutting rates later in the year. With investors holding short positions in bonds, the upside for US bond yields and the dollar seems limited.

A breakthrough in Beijing? The Trump-Xi summit has the potential to lift the blockade. Both leaders have agreed that the Hormuz strait "must remain open", with China's leverage over Iran, being its biggest oil customer, a key factor. Should China act on this pledge, shipping through Hormuz could resume in weeks. Such a development would lower oil prices and relax global financial conditions, sustaining the rally in risk assets.

Risk of prolonged blockade. Any persistence of the Hormuz blockade remains a risk to our constructive outlook. Should the impasse continue into the peak summer driving and travel season, global oil inventories, bolstered thus far by elevated reserves and strategic stockpile releases, are likely to decline sharply. This would lead to upward pressure on oil prices and heightened economic strain. We therefore continue to hedge against stagflation risks through gold and alternative assets.

Opportunity in UK bonds? UK long-term government bond yields have surged to their highest in decades as Prime Minister Starmer faces challenges to his leadership after wide-ranging local election losses. Even with a left-wing Labour replacement, any stimulus is likely to be funded by taxes, not borrowing, likely easing fiscal concerns. Markets have already priced almost 70bps of BoE rate hikes over the next 12 months because of the energy shock, leaving little scope for hawkish policy surprises. Meanwhile, the Gilt-Bund spread, exceeding 2 percentage points, appears excessively wide. Thus, a further UK bond selloff if Starmer departs could present opportunities to add exposure. We are watching this space closely.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

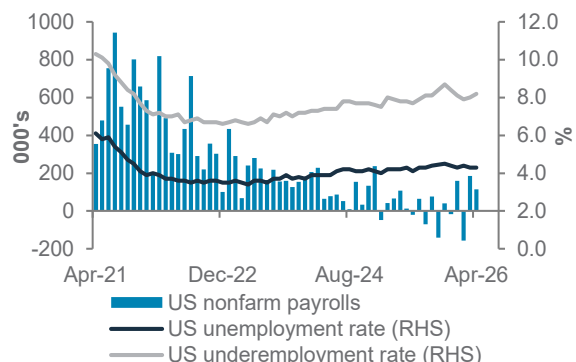
(+) factors: Resilient US job market, Trump-Xi Summit

(-) factors: Rising US inflation; US-Iran peace talks deadlocked

	Positive for risk assets	Negative for risk assets
Macro data	- US non-farm payrolls rose more than expected by 115,000 in April - US core retail sales rose more than expected by 0.5% m/m in April - US Michigan 1-year inflation expectations were below expectations at 4.5% y/y in April - Euro area and Germany ZEW Survey of growth expectations beat estimates in May - China exports grew more than expected by 14.1%	- US headline and core consumer prices rose more than expected by 3.8% y/y and 2.8% y/y respectively in April - US headline and core producer prices rose more than expected by 6.0% y/y and 5.2% y/y respectively - US Michigan consumer sentiment fell more than expected to 48.2 in April - China consumer and producer price inflation rose above expectations at 1.2% y/y and 2.8% y/y
	Our assessment: Neutral – Resilient US job market vs. rising inflationary pressures in the US	
Policy developments		- China's central bank cautioned against imported inflation risks, limiting scope for further easing - Fed's Collins did not rule out rate hikes if inflation remains stubbornly above the Fed's 2% target - ECB's Nagel said ECB rate hikes more likely due to Iran crisis inflation risks
	Our assessment: Negative – Hawkish central banks	
Other developments	President Trump agreed with President Xi to reopen Hormuz Strait, expand China's imports of US products, boost Chinese investment into the US	US and Iran are locked in diplomatic stalemate with no meaningful momentum toward a deal
	Our assessment: Neutral – Constructive Trump-Xi summit vs. US-Iran peace talks deadlocked	

US non-farm payrolls rose more than expected in April, while the unemployment rate held steady at 4.3%, reflecting a labour market near equilibrium

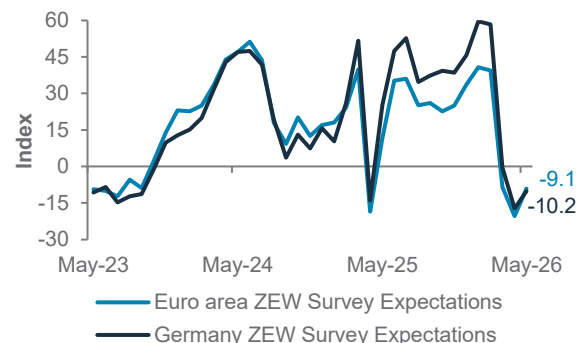
US non-farm payrolls, unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered

Euro area growth expectations remained weak despite a marginal recovery in May

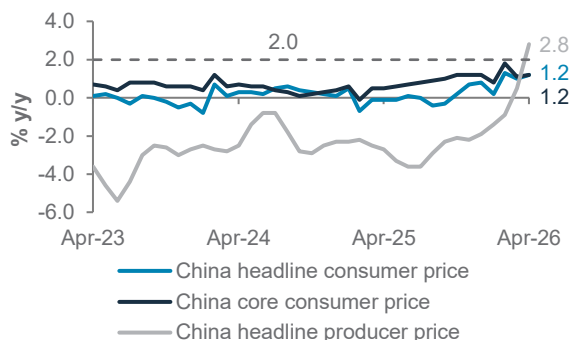
Euro area and Germany ZEW survey of growth expectations



Source: Bloomberg, Standard Chartered

China's deflation pressures have eased, primarily due to a surge in imported energy costs

China's consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What are the market implications of the Trump-Xi summit?

Our view: We believe the Trump-Xi summit will be positive for risk assets if it signals greater China involvement in Middle East conflict de-escalation. USD/CNH downside risk remains, which would benefit commodity currencies, such as the Australian dollar (AUD).

Rationale: US President Trump and Chinese President Xi began a two-day summit in Beijing on 14 May, after Trump arrived in China on a 13-15 May state visit. The US and China are expected to launch a 'Board of Trade' mechanism, with each side potentially identifying USD 30bn worth of goods for tariff reductions – a development that, if confirmed, would be modestly supportive of risk assets.

The most significant wildcard for risk assets is the ongoing Middle East conflict. Any signs of progress, diplomatic breakthroughs or formal agreements regarding conflict de-escalation reached at this summit, with China playing a more active diplomatic role in pressuring Tehran, would be pivotal. US Secretary of State Rubio has explicitly urged China to help reopen the Strait of Hormuz, underscoring this as a live negotiating point.

In fixed income, we believe any positive developments towards conflict de-escalation could trigger a **relief rally** in US Treasuries and Emerging Market (EM) local currency (LCY) bonds, along with some tightening of yield premiums more broadly. This is because oil prices could fall sharply, easing inflation pressures and reducing the geopolitical risk premium embedded in rates.

Meanwhile, the USD/CNH currency pair is facing continued downward pressure, largely due to the People's Bank of China (PBoC) consistently setting the yuan midpoint at stronger levels around 6.84, particularly in the lead-up to and during the Trump-Xi summit. This approach highlights the Chinese authorities' commitment to ensuring currency stability, which bolsters investor confidence in the yuan. We expect **USD/CNH to remain in a modestly bearish trend**, with the next support at 6.75, reflecting the broader strength of the Chinese yuan.

This supportive environment for the yuan has also had a positive impact on commodity-linked currencies, particularly the AUD. We continue to see **room for AUD/USD to rise further**, driven by Australia's trade with China and favourable macroeconomic conditions. Immediate resistance is at 0.74. However, we see **long AUD/JPY as a more attractive trading opportunity**, with the pair in an upward channel since April 2025. We expect it to approach the 116 level in the coming weeks.

— Ray Heung, Senior Investment Strategist
Iris Yuen, Investment Strategist

Bond yields declined as the news of the first US-Iran ceasefire agreement broke in early April

US 10-year government bond yield, Bloomberg EM local currency government bond index yield, US Investment-grade (IG) corporate bond index yield



Source: Bloomberg, Standard Chartered

The Chinese yuan is strengthening as the PBoC lowers USD/CNH fixing

USD/CNH and PBoC fixing rate



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How does the latest US consumer inflation data impact your view on US Government Bond yields?

Our view: We expect the firmer US consumer inflation print to maintain near-term upward pressure on the 10-year US Government Bond yield.

Rationale: The higher-than-expected US consumer inflation in April (3.8% y/y) suggests the market will scale back expectations for near-term Fed easing, and at the margin, revive concerns about further tightening.

Nevertheless, the latest inflation rise is not broad-based. Much of the upside stemmed from energy, food, airfares and a one-off shelter distortion. While core goods inflation was flat, wage growth remains contained, and **long-term inflation expectations remain anchored**.

As a result, we view the strong headline consumer inflation data as likely to push the 10-year Government Bond yield higher initially, with the yield potentially reaching resistance at around 4.5%. If the pressure persists, it could test the next resistance level at around 4.6%, a level last seen in May 2025. Our **three-month estimated range for the 10-year US Government Bond yield of 4.25-4.5% remains intact**, but bouts of inflation pressure are expected to lead to a temporary breach of this range.

— Ray Heung, Senior Investment Strategist

Q Do you believe incoming Fed Chair Kevin Warsh will steer market expectations away from a neutral Fed stance?

Our view: We believe Warsh is unlikely to steer the Fed away from its neutral stance in the near term.

Rationale: The current economic backdrop is not conducive to a dovish Fed pivot, especially given that the **latest US consumer inflation reading remains elevated** at 3.8% y/y – a level not seen since 2023.

In an April 2026 CNBC interview, Trump said he would be “disappointed” if incoming Fed Chair Warsh did not cut rates. However, we expect **Warsh to prioritise inflation credibility over accommodation**. In addition, he is expected to rely less on balance sheet tools, which will further constrain the room to ease policy, particularly in the early stages of his tenure as Fed Chair.

That said, Warsh believes in the disinflationary benefits of AI-driven productivity gains. As a result, we think the odds of a shift away from this neutral stance could rise if the Middle East conflict subsides and US labour market weakness becomes more evident in H2 2026.

— Ray Heung, Senior Investment Strategist

We expect the US 10-year government bond yield to stay in the 4.25-4.5% range in the near term

US 10-year government bond yield



Source: Bloomberg, Standard Chartered

The market has been expecting a Fed rate hold since the start of the Middle East conflict

Market-implied number of Fed funds rate cuts/hikes as of December 2026



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Would the planned mega US initial public offerings (IPO) in H2 2026 challenge your positive stance on US equities?

Our view: *We remain positive on US equities, driven by solid earnings growth, and we do not expect major equity offerings to derail this positive trend.*

Rationale: Media reports suggest major US equity offerings may emerge in H2 2026 from the **technology sector**, driven by rapid AI growth, and from the **industrial sector**, fuelled by aerospace and space exploration. These offerings could raise concerns that fund managers might have to sell down existing holdings to participate in the new equity offerings, potentially triggering market weakness.

While this could cause short-term volatility, we expect the primary driver for US equities to be earnings growth, on which we remain positive. Consensus expectations are for **S&P500 earnings to grow robustly** by 24% in 2026 and 14.9% in 2027 (per LSEG I/B/E/S). Over time, earnings growth can fund share buybacks – which provide fund managers further capital to deploy directly. Earnings growth also indirectly support the stock market as companies reinvest their earnings to fund growth and individuals see rising income and savings. Indeed, it is more likely that major equity offerings are the result of sustained positive equity market sentiment.

— **Fook Hien Yap**, Senior Investment Strategist

Q What are the key takeaways from major Chinese technology companies' earnings?

Our view: *We maintain our bullish view on Hang Seng Technology Index (HSTECH). Reasonable valuations and improving growth visibility provide scope to increase exposure.*

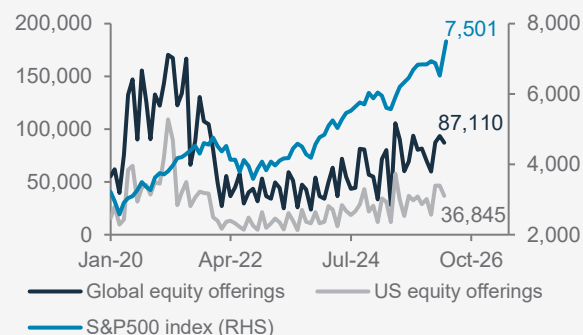
Rationale: China's tech sector delivered **strong Q1 2026 earnings**, reinforcing AI as the dominant driver. According to Bloomberg, as of 14 May, aggregate earnings per share growth for the IT sector more than doubled. **AI adoption broadened beyond IT**, particularly into consumer discretionary (eg: EVs, e-commerce) and communication services (eg: gaming), which recorded positive revenue growth.

Multiple catalysts underpin our expectations of further upside: 1) **Monetisation inflection:** Early revenue traction among immediate AI beneficiaries, including enterprise software and advertising/marketing. 2) **Capex expansion:** Rising investments in segments such as semiconductors and energy infrastructure support the supply build-out to meet commercial AI demand. 3) **Macro support:** Stabilising retail sales and elevated oil prices have supported profitability in select consumer discretionary segments, such as EVs. HSTECH trades at 19.3x 12-month forward price-to-earnings (P/E) ratio – below its five-year average – offering an attractive entry point.

— **Michelle Kam, CFA**, Investment Strategist

US equity offerings have been trending higher since 2022, along with a rise in the S&P500 Index

Global and US equity offerings (in USD millions) and the S&P500 Index



Source: Bloomberg, Standard Chartered

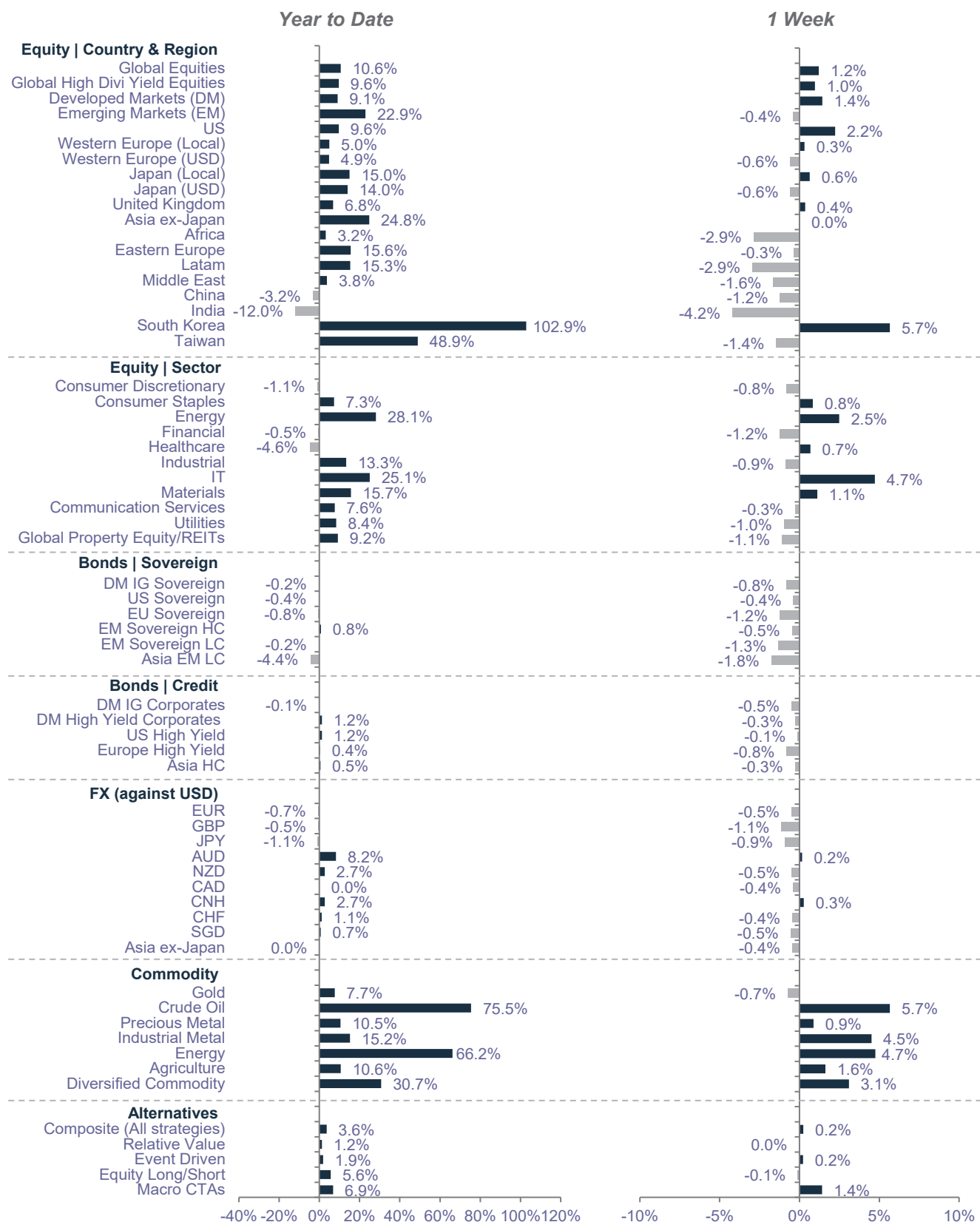
Valuations for the Hang Seng Tech index remain reasonable, providing opportunities to add exposure

12-month forward P/E ratio for the Hang Seng Technology index



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 14 May 2026; 1-week period: 7 May 2026 to 14 May 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ◆	US Utilities ▲
Japan ◆	Europe ex-UK Financials ▲
Other EM ◆	China Communication ▲
	China Technology ▲
	China Healthcare ▲
Bonds ◆	
Credit	
Asia USD ◆	Alternatives ◆
Corp DM HY ◆	
Govt EM USD ▲	Gold ▲
Corp DM IG ◆	
Govt	
Govt EM Local ▲	
Govt DM IG ▼	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,711

Technical indicators for key markets as of 14 May close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,501	7,099	7,711	21.2	1.2
STOXX 50	5,935	5,764	6,090	15.1	3.2
FTSE 100	10,373	10,122	10,654	12.8	3.5
TOPIX	3,879	3,732	3,976	16.9	2.3
Shanghai Comp	4,178	4,027	4,294	14.0	2.9
Hang Seng	26,389	25,718	26,953	11.3	3.3
Nifty 50	23,690	23,101	24,440	18.3	1.7
MSCI Asia ex-Japan	1,135	1,039	1,187	12.6	2.0
MSCI EM	1,717	1,596	1,786	11.9	2.5
Crude oil (WTI)	101.2	84.2	114.5	na	na
Gold	4,652	4,472	4,861	na	na
UST 10Y Yield	4.48	4.30	4.58	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period Expected	Prior
MON	CNH Retail Sales y/y	Apr	1.9% 1.7%
	CNH Industrial Production y/y	Apr	6.0% 5.7%
	CNH Fixed Assets Ex Rural YTD y/y	Apr	1.7% 1.7%
	CNH Property Investment YTD y/y	Apr	-11.4% -11.2%
TUE			
WED			
THU	EUR S&P Global Eurozone Manufacturing PMI	May P	– 52.2
	EUR S&P Global Eurozone Services PMI	May P	– 47.6
	USD Philadelphia Fed Business Outlook	May	12.0 26.7
	USD Housing Starts	Apr	1420k 1502k
	USD Building Permits	Apr P	1385k 1363k
	USD S&P Global US Manufacturing PMI	May P	– 54.5
	USD S&P Global US Services PMI	May P	– 51.0
	EUR Consumer Confidence	May P	– -20.6
FRI/SAT	EUR GfK Consumer Confidence	Jun	– -33.3
	EUR IFO Business Climate	May	– 84.4

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 14 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.69
Global Equities	●	↓	1.46
Gold	●	→	1.64
Equity			
MSCI US	●	↓	1.38
MSCI Europe	●	↓	1.79
MSCI AC AXJ	●	↓	1.50
Fixed Income			
DM Corp Bond	●	↓	1.75
DM High Yield	●	→	1.94
EM USD	●	↑	2.00
EM Local	●	→	1.56
Asia USD	●	↓	1.88
Currencies			
EUR/USD	●	→	1.53

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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MVOG >



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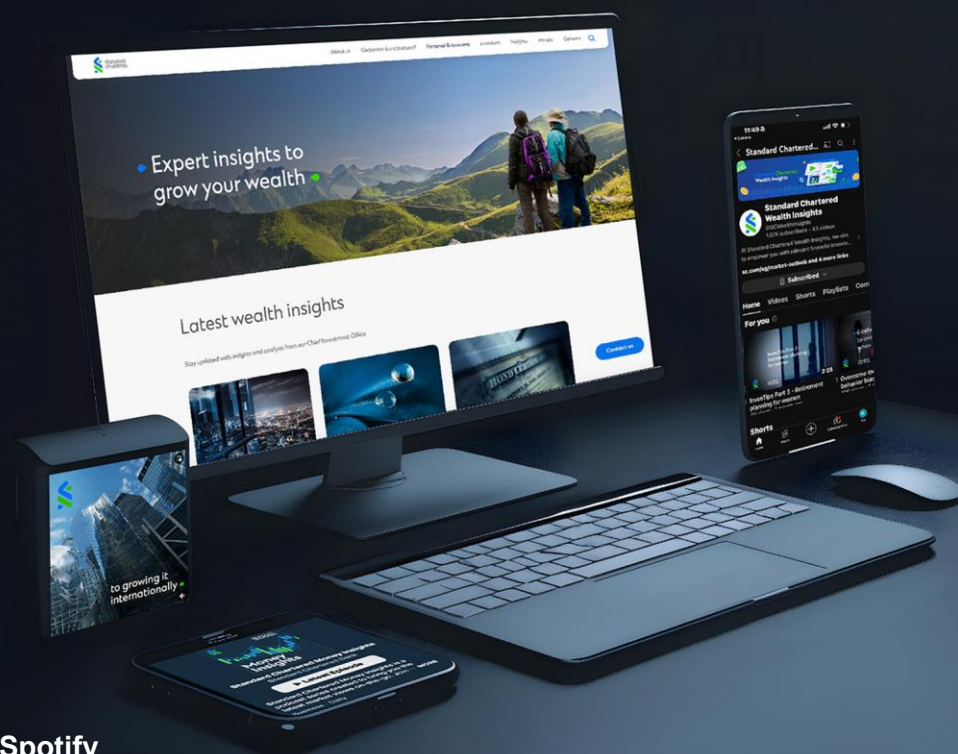
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Weekly Market View

Locking gains in Asia, rotating to Euro area

→ The global equity rally is likely to broaden in the coming weeks, driven by a potential US-Iran deal that could reopen the Strait of Hormuz and restart Middle East energy flows.

→ While our investment stance remains Overweight on global equities, including US equities following another strong earnings season, this week we locked in significant gains from our Overweight view on Asia ex-Japan and semiconductor equities, and upgraded Euro area equities to a core holding.

→ This week's clashes notwithstanding, a potential US-Iran deal should ease inflation pressures, allowing the Fed to cut rates later this year to support growth. In contrast, both the ECB and BoJ are likely to hike rates as early as June.

→ The BoJ faces pressure to normalise its highly accommodative monetary policy after being forced to intervene in FX markets to defend the yen. This anticipated policy divergence between the Fed and the ECB/BoJ is expected to further weaken the USD.

Bullish Hang Seng Tech index:
AI adoption to create long-term value

Bullish AUD corporate bonds:
attractive yield, peak RBA hawkishness, AUD strength

Rangebound GBP/USD:
Election downside risk offset by weaker USD

Charts of the week: Rotating equity allocations

We took profit on the outperforming Asia ex-Japan equities, rotating into Europe ex-UK, which has underperformed YTD

Changes to our foundation equity market allocation views

Equities	Our views
US	▲
Asia ex-Japan	◆
Japan	◆
Europe ex-UK	◆
UK	▼

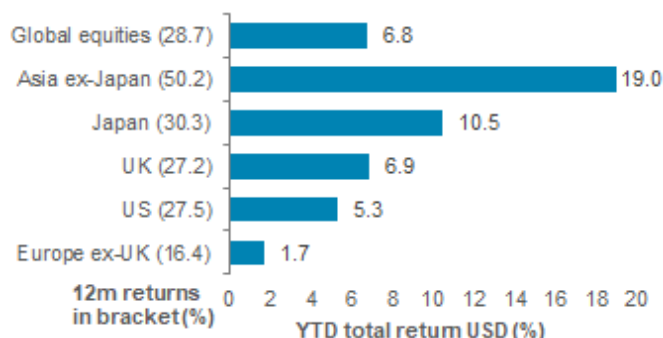
Legends: ▲ Overweight | ▼ Underweight | ◆ Core holding

Green represents an upgrade from previous houseview;

Red represents a downgrade from previous houseview

Source: Bloomberg, Standard Chartered; *As of 4 May

Regional equity market performance YTD*



Editorial

Locking gains in Asia, rotating to Euro area

Strategy summary: The global equity rally is likely to broaden in the coming weeks, driven by a potential US-Iran deal that could reopen the Strait of Hormuz and restart Middle East energy flows. While our investment stance remains Overweight on global equities, including US equities following another strong earnings season, this week we locked in significant gains from our Overweight view on Asia ex-Japan and semiconductor equities, and upgraded Euro area equities to a core holding.

This week's clashes notwithstanding, a potential US-Iran deal should ease inflation pressures, allowing the Fed to cut rates later this year to support growth. In contrast, both the ECB and BoJ are likely to hike rates as early as June. The BoJ faces pressure to normalise its highly accommodative monetary policy after being forced to intervene in FX markets to defend the yen. This anticipated policy divergence between the Fed and the ECB/BoJ is expected to further weaken the USD.

A broadening rally: This year's global equity rally has been highly concentrated, with nearly 50% of gains attributed to the semiconductor industry. This benefitted our Overweight view on Asia ex-Japan, which includes semiconductor leaders – South Korea and Taiwan. While our structural bullish stance on the AI revolution remains intact, the AI rally is entering its next phase, where downstream beneficiaries such as internet platforms (key customers of semiconductors) are expected to increasingly capture value. A more balanced positioning across tech-related markets and industries is therefore prudent.

Locking gains in Asia, rotating to Euro area: On 5 May, we took profit on our Overweight view on Asia ex-Japan (outperformer) and rotated to Europe ex-UK (underperformer), to capture the broadening rally (for details, please see Market Watch "Broadening of the rally", published 5 May). Europe ex-UK equities are likely to benefit from AI adopters across the industrial, financial, consumer, and healthcare sectors. We also closed our opportunistic idea on global semiconductors, locking in significant gains. Within Asia ex-Japan, we maintain

Overweight positions in Taiwan, China, and India to benefit from the AI value chain and domestic growth.

Potential US-Iran deal to restart Hormuz shipping: A US-Iran deal looks likely amid mounting economic pressure on all sides. US gasoline prices have surged above USD 4.5/gallon, and President Trump's approval rating is falling. The Hormuz strait blockade is increasing pressure on Iran's oil industry and its economy. China's intervention this week, urging Iran to reopen the strait, which comes ahead of next week's Trump-Xi meeting, could be the decisive factor leading to a deal.

US-Iran deal to ease inflation, bond yields and the USD: A restart of Middle East energy flows should lower near-term inflation expectations. While major central banks are likely to hold rates in the near term, the Fed is likely to cut later this year as the latest oil shock weighs on growth with a lag (watching April's jobs report tonight and inflation report next week). Although the ECB has set the stage for a June hike amid rising inflation, markets may be underestimating the medium-term growth impact of the oil shock. We expect one ECB rate hike this year, in June vs. market odds of 2–3 hikes. This policy outlook means bonds offer attractive risk-reward for investors seeking to lock in yields. We are tactically bullish on AUD bonds following this week's RBA meeting, which delivered a rate hike alongside relatively dovish guidance from Governor Bullock.

Japan draws the line on yen depreciation: Japan authorities have intervened in FX markets since 30 April for the first time in two years to support the yen as USD/JPY crossed 160. This signals they do not want further yen depreciation given its negative impact on imported inflation. However, FX intervention is a stop-gap measure. The BoJ is likely to hike its policy rate, potentially as early as June, to bring it closer to inflation. The BoJ is under pressure to prevent rising wage-driven inflation from un-anchoring long-term inflation expectations. We expect USD/JPY to fall to 152 over 12 months, with the BoJ hiking 50bps by December, and the Fed cutting 25bps.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

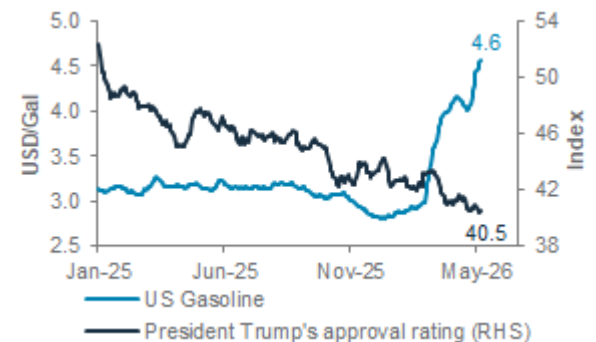
(+) factors: Likely US-Iran agreement to restart Hormuz shipping

(-) factors: Weak US mfg and services activities, mixed US jobs data

	Positive for risk assets	Negative for risk assets
Macro data	- US JOLTS job openings fell less than expected to 6.87m in March - Euro area Sentix investor confidence came in above estimates at -16.4 in April - US Q1 unit labour cost growth slowed more than expected to 2.3%	- US private payrolls (ADP) rose less than expected by 109,000 in April - US ISM manufacturing and key sub-indices PMIs missed estimates in April, with rising prices paid - US ISM services PMI rose less than expected to 53.6 - Euro area producer price inflation rose unexpectedly to 2.1% y/y in March
	Our assessment: Negative – Softer-than-expected US manufacturing and services activities, mixed US jobs data	
Policy developments	- ECB's Villeroy signalled not enough second-round inflation effects from oil prices yet to justify rate hike - RBA raised the cash rate to 4.35% as expected, but Governor Bullock offered relatively dovish guidance	- BOJ minutes showed the need to hike rates if energy shock continues - ECB's Kazimir signalled a June hike due to the inflation pressures
	Our assessment: Negative – Potential BoJ rate hike	
Other developments	- US and Iran are reportedly close to agreeing a 14-point memorandum to end the conflict - China, in talks with Iran's top diplomat, warned against resuming the conflict with the US - President Trump confirmed his planned trip to China will go ahead as scheduled on May 14-15	- The US and Iran exchanged attacks on military targets and navy ships, re-escalating their conflict; earlier Iran attacked UAE targets - Ukraine struck Russia's Primorsk port on the Baltic Sea - EU warned of retaliation if the US raises auto tariffs to 25%
	Our assessment: Positive – Likely easing of US-Iran tensions and resumption of Hormuz strait shipping	

US gasoline prices have surged, while President Trump's approval ratings have dropped to the lowest levels of his second term, increasing pressure to reach an agreement with Iran

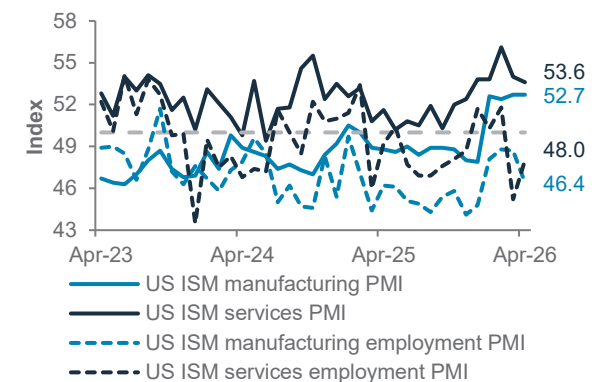
US daily national average gasoline prices and President Trump's job approval poll rating



Source: Bloomberg, Standard Chartered

US ISM manufacturing and services PMIs and employment PMIs came in below estimates

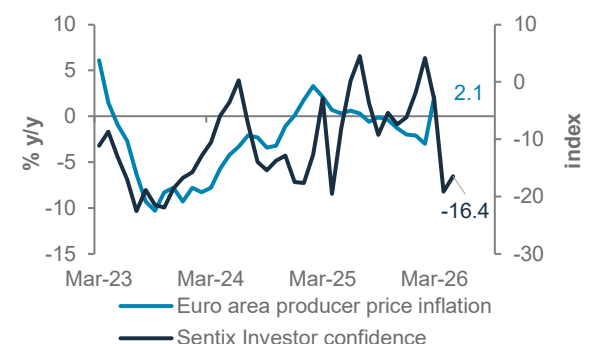
US ISM manufacturing and Services PMI, and employment PMIs



Source: Bloomberg, Standard Chartered

Euro area producer prices indicated a resurgence of inflationary pressure driven by the jump in energy costs

Euro area producer price inflation and Sentix investor confidence



Source: Bloomberg, Standard Chartered

Top client questions

Q How does your view of a broadening of the global equity rally impact your regional equity preferences?

Our view: We closed our Asia ex-Japan (AxJ) Overweight idea, taking profit on its outperformance and rotating into Europe ex-UK, an underperformer. We remain Overweight US equities. Within AxJ, we are Overweight Taiwan, China and India.

Rationale: We remain positive on global equities and expect the equity rally to broaden, given resilient corporate earnings growth. Hence, we have taken profit on **AxJ, the best performing major market year to date (YTD)**, shifting our view from Overweight to a Core allocation. At the same time, we have closed our Underweight view on Europe ex-UK, the worst performing region YTD. We remain Overweight US equities, which are likely to deliver the second-highest expected earnings growth (19.1%) over the next 12 months among major equity regions, behind AxJ (46.0%).

AxJ's YTD strength has been led by South Korean equities, where we have a Core allocation. We continue to prefer a diversified approach within AxJ. Taiwan offers exposure to structural semiconductor growth, while China offers valuation re-rating potential due to its valuation discount amid stable policy support and AI developments. Meanwhile India offers non-tech, domestic-driven growth at reasonable valuations.

— Fook Hien Yap, Senior Investment Strategist

Q What do you expect from the upcoming Chinese Big Tech companies' earnings releases?

Our view: Although near-term earnings growth faces pressure from elevated capex and intensified e-commerce competition, AI-driven capabilities are expected to support long-term value creation. We remain positive on the Hang Seng Tech index.

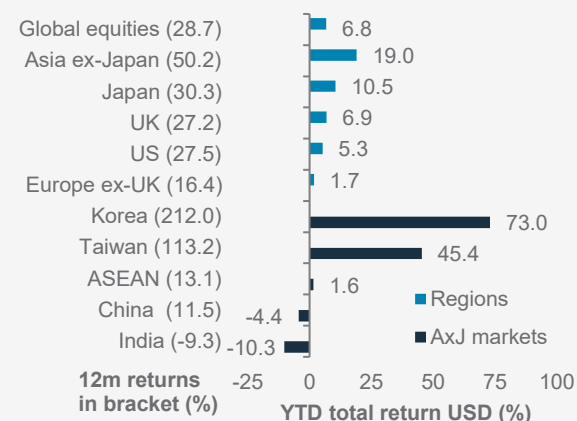
Rationale: Chinese Big Tech companies are set to report Q1 2026 earnings from 12 May. Consensus 2026 earnings per share (EPS) growth for Hang Seng Tech has been revised downward, reflecting near-term pressure from **rising capex** and **intense e-commerce competition**. However, 2027 estimated growth remains intact, signalling an anticipated medium-term normalisation.

Despite near-term pressures, **rising AI adoption** is a key growth driver. Chinese internet giants are deeply embedding AI across gaming, social media and advertising to accelerate monetisation. Meanwhile, China has been promoting **research and innovation** amid global competition. Combined with policy initiatives to curb excessive competition and stimulate domestic demand, we expect the combined measures to support future earnings and margin expansion.

— Jason Wong, Senior Equity Analyst

As the rally broadens out, we remain Overweight US equities. Within AxJ, we are Overweight Taiwan, China and India

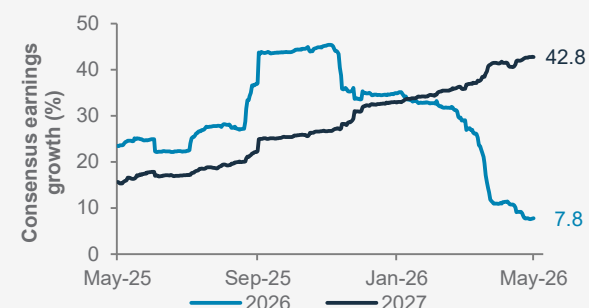
Regional equity market performance YTD*



Source: Bloomberg, Standard Chartered; *As of 4 May

Hang Seng Tech's intact 2027 earnings growth estimates, despite downward revisions to 2026 estimates, signal medium-term normalisation

Consensus 2026 and 2027 earnings growth estimates for the Hang Seng Technology Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Given elevated energy prices, what underpins your expectations of a 25bps Fed rate cut this year? What is your near-term view on the US 10-year bond yield? Is intermediate duration still the right exposure for bonds?

Our view: We retain our expectation of one 25bps Fed rate cut in 2026 as we see the Fed policy narrative pivoting from inflation to growth. We retain our preference for intermediate- and short-duration US High-yield (HY) bonds for 'carry' and Treasury Inflation-protected Securities (TIPS) as an inflation hedge.

Rationale: We continue to expect the Fed to deliver one 25bps rate cut before year-end 2026. While the central bank is unlikely to be in a hurry, given near-term inflationary pressures – visible in the March 2026 personal consumption expenditure (PCE) print of 3.5% y/y – we expect a **lack of sustained inflationary pressures**, enabled by a **relatively soft labour market**, to eventually open the door for lower policy rates.

We continue to **view 5-7-year maturities as offering the most attractive risk-reward**, capturing potential capital gains from Fed cuts and meaningful upside from longer-duration bonds, but with significantly lower rate volatility. While Middle East de-escalation could lift disinflationary expectations and reprice risk premia, energy supply disruptions and fiscal deficit concerns leave the long-dated duration vulnerable to term-premium pressures. Moving sharply down the curve is also not preferred, as coupon income diminishes. We are **tactically bullish on short-duration HY corporates**, where higher yields more than compensate for shortened duration, supported by late-cycle fundamentals.

Recent hawkish repricing has pushed yields to the middle or upper bound of our three-month range, creating a tactical entry point for selective tenors in the near term. For longer-term positioning, reports of a potential Middle East deal present an opportunity to lock in yields in our preferred 5-7-year tenors. **We would extend duration if front-end yields rally meaningfully or if the term premium subsides sustainably.** A delayed conflict resolution remains a key risk, potentially reintroducing long-end volatility. Encouragingly, central banks view oil's inflation pass-through as manageable, reinforcing our view that the Fed will look through the near-term spike and resume cuts in H2 2026. Under this backdrop, we believe TIPS serve best as a portfolio hedge.

The US 10-year bond yield fell to roughly 4.35% on news of conflict de-escalation, near the midpoint of our three-month forecast. We see further room for the 10-year yield to decline, with technical indicators pointing to support at 4.27% – the convergence of the 50-day moving average and the 38.2% retracement of the January 2025 high.

— **Ray Heung**, Senior Investment Strategist
— **Cedric Lam**, Senior Investment Strategist

The US 10-year government bond yield has room to move lower

US 10-year government bond yield, Fibonacci retracement (Jan-2025)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Does the latest Reserve Bank of Australia (RBA) commentary alter your bullish view on AUD corporate bonds?

Our view: *We maintain our Opportunistic bullish view on Australian Dollar (AUD) corporate bonds.*

Rationale: While the RBA chose to hike policy rates by 25bps to 4.35%, **we remain positive on AUD corporate bonds** because we see the decision as a signal of 'peak hawkishness' rather than the start of a more extended tightening cycle. Governor Bullock signalled **a likely upcoming pause** to assess the impact of the recent tightening. Importantly, the RBA's downgraded 2026 growth outlook suggests **policy is already restrictive**, which should cap further rate rises. We believe this explains the calm reaction in AUD corporate bond yield premia, which remained rangebound after the RBA decision. Given these factors, AUD corporate bond yields and yield premia remain attractive, in our view.

AUD strength adds an additional layer of support for total returns. AUD/USD has appreciated about 2% since we initiated the idea, bringing it close to our three-month target. **AUD gains vs. the USD are likely to resume later in 2026** as expectations build for the Fed to resume rate cuts in H2 2026. For now, we expect the AUD/USD to consolidate at recent highs, anticipating the pair will reach 0.73 in three months and 0.75 in 12 months.

— Ray Heung, Senior Investment Strategist

— Iris Yuen, Investment Strategist

Q What is your tactical outlook for the Pound Sterling (GBP) following the UK local elections?

Our view: *GBP/USD is expected to stay rangebound between 1.3480 and 1.3730 in the coming weeks, as the likely outcome of Labour losing seats is already reflected in the market and any downside risk is likely to be offset by USD repricing.*

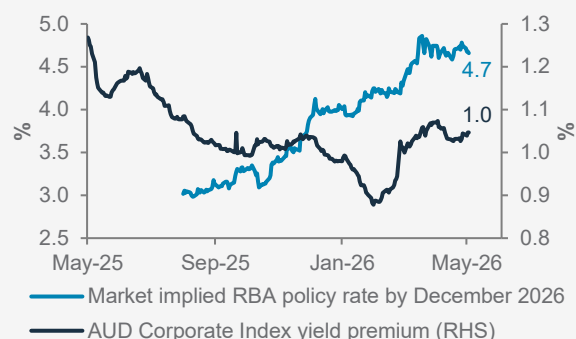
Rationale: Reports suggest the Labour party, led by current UK Prime Minister Keir Starmer, is expected to lose seats in the UK local elections. This scenario appears to be largely priced in by markets as well. Should Starmer manage to maintain his leadership with only minor cabinet changes, markets could interpret this as a signal of political stability, which could in turn support GBP stability.

If leadership challenges intensify, especially if Reform UK and the Greens make gains, downside pressure on GBP/USD could rise. However, the UK faces a challenging economic environment (potential stagflation linked to the ongoing Middle East conflict), which may discourage or delay any immediate leadership challenges. USD weakness amid US-Iran peace talk expectations should also help offset any GBP/USD downside risks.

— Iris Yuen, Investment Strategist

AUD corporate bond yield premium and market-implied RBA policy rate estimates remain rangebound after the recent RBA rate decision

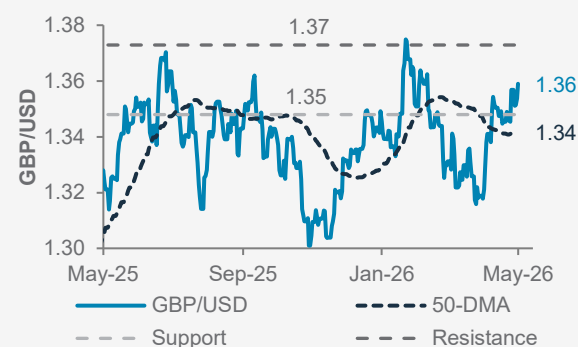
Market-implied RBA policy rate estimate by December 2026, Bloomberg AUD corporate bond total return index (unhedged)



Source: Bloomberg, Standard Chartered

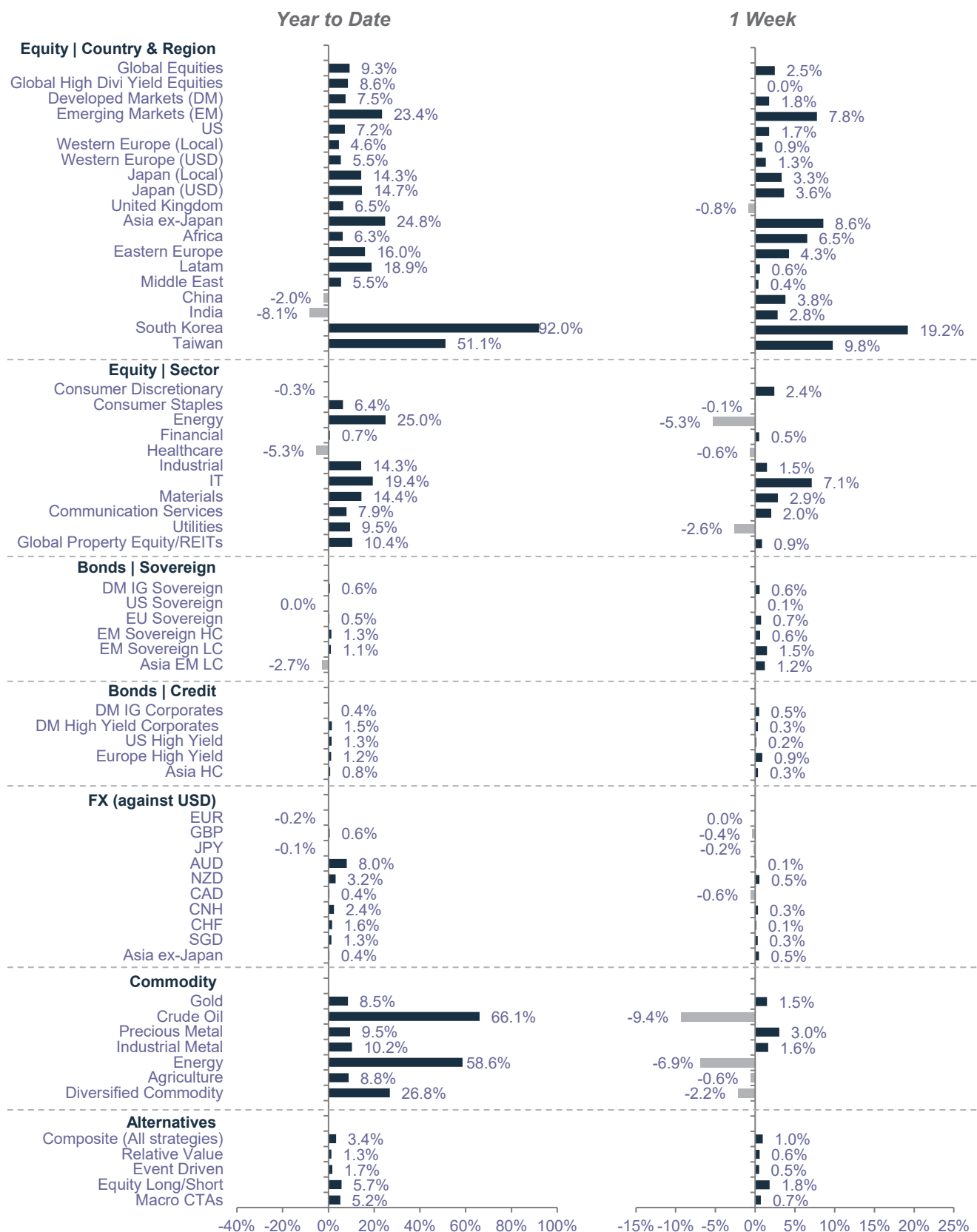
GBP/USD remains largely rangebound

GBP/USD and technical levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 7 May 2026; 1-week period: 30 April 2026 to 7 May 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ◆	US Utilities ▲
Japan ◆	Europe ex-UK Financials ▲
Other EM ◆	China Communication ▲
	China Technology ▲
	China Healthcare ▲
Bonds ◆	
Credit	
Asia USD ◆	Alternatives ◆
Corp DM HY ◆	
Govt EM USD ▲	Gold ▲
Corp DM IG ◆	
Govt	
Govt EM Local ▲	
Govt DM IG ▼	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,637

Technical indicators for key markets as of 7 May close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,337	6,786	7,637	20.9	1.2
STOXX 50	5,973	5,697	6,161	15.2	3.1
FTSE 100	10,277	10,065	10,588	12.7	3.5
TOPIX	3,840	3,698	3,922	17.0	2.3
Shanghai Comp	4,180	3,977	4,282	14.1	2.9
Hang Seng	26,626	25,867	27,028	11.4	3.3
Nifty 50	24,327	23,163	25,046	18.8	1.7
MSCI Asia ex-Japan	1,135	1,002	1,203	12.5	2.0
MSCI EM	1,724	1,539	1,819	11.9	2.4
Crude oil (WTI)	94.8	77.7	114.8	na	na
Gold	4,686	4,495	4,883	na	na
UST 10Y Yield	4.39	4.25	4.49	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	PPI y/y	Apr	1.8%	0.5%
	CNH	CPI y/y	Apr	0.8%	1.0%
	USD	Existing Home Sales	Apr	4.05m	3.98m
TUE	EUR	ZEW Survey Expectations	May	–	-17.2
	EUR	ZEW Survey Current Situation	May	–	-73.7
	USD	NFIB Small Business Optimism	Apr	96.0	95.8
	USD	CPI y/y	Apr	3.8%	3.3%
	USD	Core CPI y/y	Apr	2.7%	2.6%
WED	USD	PPI Final Demand y/y	Apr	–	4.0%
	USD	PPI Ex Food and Energy y/y	Apr	–	3.8%
THU	USD	Initial Jobless Claims	9-May	–	–
	USD	Continuing Claims	2-May	–	–
	USD	Retail Sales Control Group	Apr	–	0.7%
FRI/ SAT	USD	Empire Manufacturing	May	8.0	11.0

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 7 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.38
Global Equities	●	→	1.45
Gold	●	→	1.91
Equity			
MSCI US	●	→	1.44
MSCI Europe	●	↑	2.15
MSCI AC AXJ	●	↓	1.43
Fixed Income			
DM Corp Bond	●	↑	2.11
DM High Yield	●	↑	1.82
EM USD	●	↑	1.82
EM Local	●	↑	3.81
Asia USD	●	↑	2.06
Currencies			
EUR/USD	●	↑	1.84

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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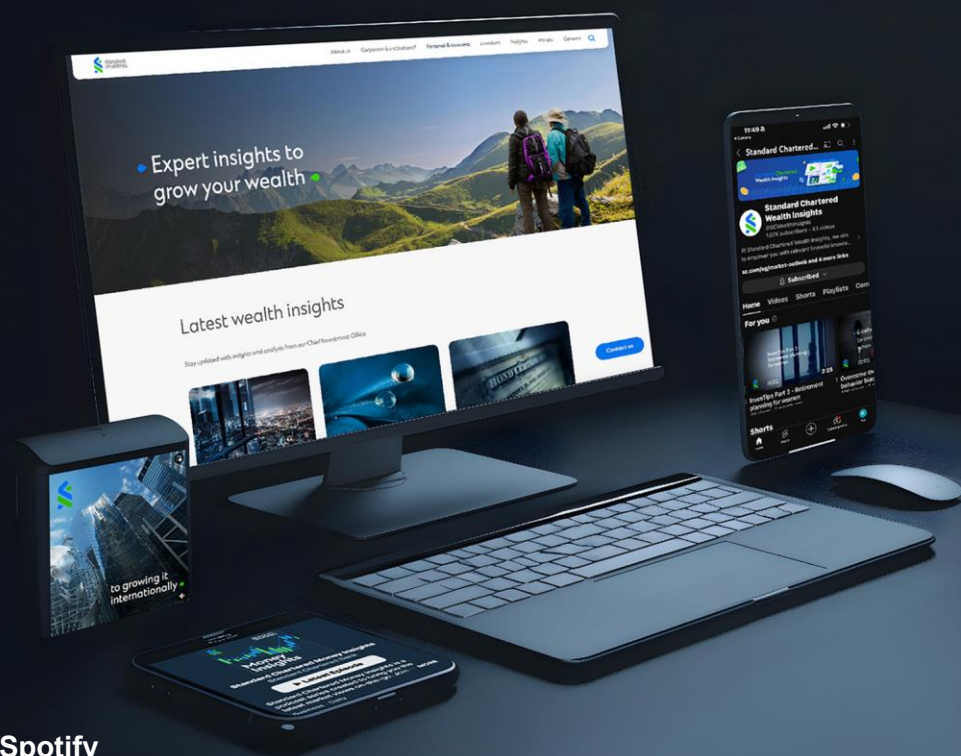
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Weekly Market View

The earnings bedrock

→ US Q1 earnings have beaten estimates, led by the tech sector, providing strong foundation for the equity market rebound.

→ This week, leading US tech firms reiterated strong guidance on AI capex growth and monetisation. This supports our bullish view on US and Asia ex-Japan equities which are likely to benefit the most from AI-related spending.

→ The Fed and the BoJ held rates this week and the ECB and BoE are likely to follow suit. However, we expect the Fed to cut rates later this year to support the job market, while the ECB, BoJ and BoE are likely to hike to counter inflation pressures. The policy divergence is likely to extend USD weakness, supporting Emerging Market assets.

→ A re-escalation in US-Iran hostilities is a near-term risk, but the UAE's departure from OPEC should eventually help increase supplies and lower oil prices, supporting risk assets.



Bullish US tech and semiconductor sectors: strong AI-driven earnings beats

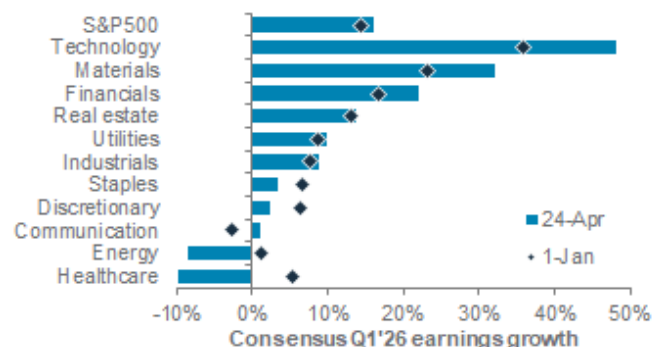
Selective opportunities in GCC bonds: prefer investment grade sovereigns, large banks

Bearish USD/JPY: growing pressure on BoJ to hike rates

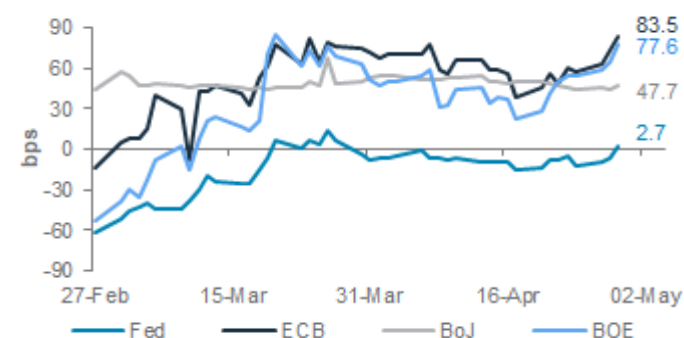
Charts of the week: Another quarter of earnings beats

Earnings beats have supported the equities rebound; central bank policy divergence to weaken USD, support risk assets

Consensus US Q1 earnings estimates, 24 April vs. 1 January



Expected change in central bank rates by December 2026*



Source: LSEG I/B/E/S, Bloomberg, Standard Chartered; *based on money markets, since the start of the US-Iran conflict on 27 February

Editorial

The earnings bedrock

Strategy summary: US Q1 earnings have beaten estimates, led by the tech sector, providing strong foundation for the equity rebound. This week, leading US tech firms reiterated strong guidance on AI capex growth and monetisation. This supports our bullish view on US and Asia ex-Japan equity markets which are likely to benefit the most from AI-related spending.

The Fed and the BoJ held rates this week and the ECB and BoE are likely to follow suit amid uncertainty caused by the Middle East conflict. However, we expect the Fed, under incoming Chair Kevin Warsh, to cut rates later this year to support the job market, while the ECB, BoJ and BoE are likely to hike to counter inflation pressures. The policy divergence is likely to extend USD weakness, supporting Emerging Market assets. A re-escalation in US-Iran hostilities is a near-term risk, but the UAE's departure from OPEC should eventually help increase supplies and lower oil prices, supporting risk assets.

Earnings provide fundamental support to equities: Four out of five S&P500 companies that have reported Q1 earnings so far have beaten expectations. This is above the historical average "beat rate" of 67%. US Q1 and full year 2026 earnings are now estimated to grow by over 16% y/y and 20%, after both estimates were upgraded since the start of the earnings season. The US tech sector continues to drive the stellar earnings, aided by AI capex and AI monetisation. We raise our estimate for global AI capex growth to a 30% annual pace over the next five years (from 27%). Tech sectors in the US and Asia ex-Japan are likely to benefit the most from these investments.

Fed to hold for now, cut rates later this year. The Fed left interest rates unchanged this week amid Middle East tensions and a surge in near-term inflation expectations. The US economy remains resilient, despite rising gasoline prices. However, the job market, already in a low-hiring, low-firing mode, is likely to soften further as high oil prices impact disposable incomes (consensus for April payrolls due on 8 May:

63,000 jobs). We expect the coming change of guard at the Fed to impart a dovish tilt to policy. This week, the Senate Banking Committee cleared Warsh's nomination to proceed to a broader Senate vote, setting the stage for Warsh to take over as Fed Chair by the next policy meeting in June. Under Warsh, we expect a 25bps rate cut by December (see page 7 for details).

Central bank divergence to further weaken USD. The BoJ too held rates this week, citing the Middle East-related uncertainty. The ECB and BoE are likely to follow suit tonight. Nevertheless, we expect them to eventually hike rates, potentially as early as June, given greater inflation risks in Europe and Japan due to higher energy costs vs. the US. We expect the BoJ to hike 50bps and ECB 25bps by December. The policy divergence is likely to drive the USD lower, benefitting Emerging Market equities and bonds.

Near-term Middle East escalation risk: US crude oil surged above USD 100/bbl this week as President Trump plans a longer blockade of the Hormuz strait to put pressure on Iran after talks broke down earlier. However, Iran's oil stockpiles have risen to record highs due to the blockade, raising the risk of damaging production halts if the blockade continues. Given this, we expect negotiations to resume in the coming weeks.

UAE's OPEC departure imparts downside risk to oil prices. While a near-term conflict escalation remains a potential driver of market volatility, we see the UAE's departure from OPEC raising downside risk for oil prices over a 12-month horizon. Reports linked UAE's decision partly to prior discomfort with OPEC's production quotas. The initial oil market impact is likely to be negligible given supply constraints due to the Hormuz Strait closure. However, in the medium-term, the decision could result in higher oil supply, and thus lower prices, as producers maximise market share. Thus, we see WTI, after staying elevated around USD 80-90/bbl near term, eventually settling around USD 70/bbl in 12 months. Lower oil prices should support a global economic recovery and risk assets this year.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

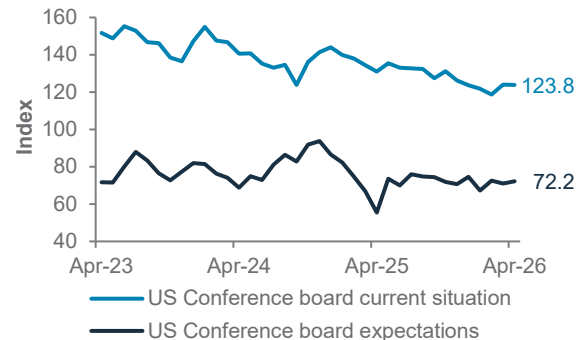
(+) factors: Improving consumer confidence and manufacturing conditions in the US; potential China policy stimulus

(-) factors: Central banks rate pause; ongoing geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US conference board consumer confidence rose unexpectedly to 92.8 - US Richmond Fed's manufacturing index beat estimates in April - China industrial profits rose 15.8% y/y in March - China Manufacturing PMI fell less than expected	- German IFO business climate index and business expectations missed estimates in April - German GfK consumer confidence came in below estimates at -33.3 in May - China non-manufacturing fell more than expected to 49.4 in April
	Our assessment: Neutral – Improving consumer confidence and manufacturing conditions in the US vs. unexpected contractions in Germany	
Policy developments	China's Politburo emphasized stronger fiscal policy to stabilize employment, markets and ensure liquidity	- Fed held rates at 3.75% as expected, amid deepening divide over outlook - Bank of Japan kept rate unchanged at 0.75% as expected, while split vote count and guidance tweak viewed as hawkish signal
	Our assessment: Neutral – Potential China policy stimulus vs. central banks rate pause	
Other developments	- Trump canceled a planned trip to Pakistan by his envoys, leaving the ceasefire in limbo - The Israel-Lebanon ceasefire appeared to be breaking down, with Netanyahu ordering strikes on Hezbollah targets - US has sanctioned one of China's largest private oil refiners, for alleged ties to Iran, raising the stakes ahead of a Trump-Xi summit next month	
	Our assessment: Negative – Ongoing geopolitical tensions	

US Conference Board consumer confidence indices rose more than expected in April

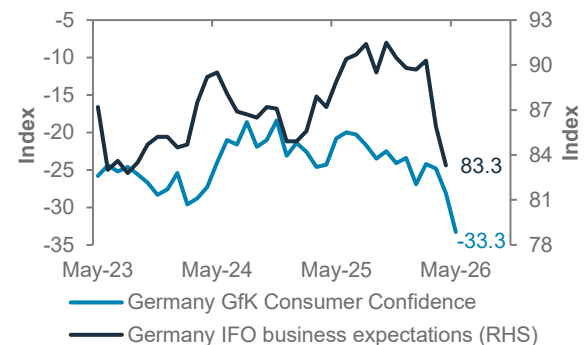
US Conference Board current situation and expectations indices



Source: Bloomberg, Standard Chartered

German consumer confidence has fallen to its lowest level since February 2023 amid rising inflation concerns; German business expectations reflect similarly cautious sentiment

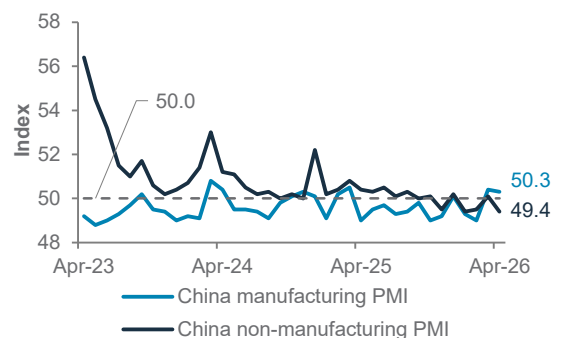
Germany GfK consumer confidence index and German IFO business expectations index



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs declined in April, while manufacturing sector kept above the 50-point mark and beat estimates

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q What are the key takeaways from the US Q1 2026 earnings season so far, including the results of major tech companies?

Our view: *US earnings are providing fundamental support to our Overweight view on US equities and the tech sector, as well as our Opportunistic idea on global semiconductors.*

Rationale: Over one-third of S&P500 companies have reported Q1 2026 earnings so far, with 81% of them beating consensus estimates – well above the average ‘beat rate’ of 67% (Source: LSEG I/B/E/S). Q1 earnings are expected to grow by 16.1% y/y. More positively, **earnings are expected to grow by 20.4% in full-year 2026**, revised up from 19% on 1 April (before the start of the earnings season).

Several major tech companies announced their earnings this week, delivering solid overall results. We believe there are two critical AI data points for major tech companies – **AI capital expenditure (capex)** and **AI monetisation**. AI capex is seeing further upgrades, following management guidance. Hence, we raise our estimate for global AI capex growth to a 30% annual pace for 2025-30 (from 27%). AI monetisation also came in ahead of expectations, with solid growth of 38% y/y in Q1 2026 for the top three cloud platforms.

— **Fook Hien Yap**, Senior Investment Strategist

Q What is the rationale behind your bullish view on global gold mining stocks?

Our view: *Add exposure to gold miners amid a robust earnings outlook and reasonable valuations.*

Rationale: Our Opportunistic idea in global gold miners aligns with our bullish gold outlook, driven by structural drivers, including resilient central bank buying and gold’s role as a hedge against macro risks, persistent inflation and declining real interest rates.

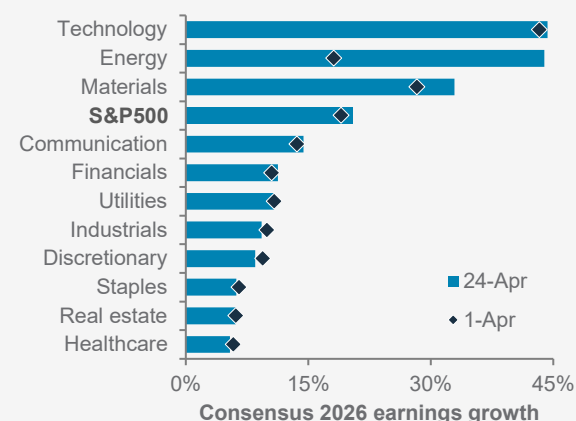
Global gold mining stocks **offer leveraged exposure to gold prices plus equity-style upside**. Higher gold prices expand margins by lifting realised prices, while all-in sustaining costs (AISC) adjust more slowly. With gold trading near USD 4,600/oz and leading miners reporting AISC below USD 2,000/oz, **margins remain elevated at over 50%**, supporting robust free cash flow generation, balance-sheet strength and higher dividends. Valuations remain reasonable, with leading miners trading at forward EV/EBITDA multiples in line with their five-year historical averages.

In the near term, elevated energy prices may pressure operating costs and margins, amplifying downside risks to miners’ earnings, while market volatility could divert flows towards haven currencies, such as the USD. However, **we expect investors to look through near-term liquidity-driven volatility**, with gold miners well-positioned to benefit from supportive macro and policy conditions.

— **Michelle Kam**, CFA, Investment Strategist

US earnings growth estimate for 2026 has nudged up since the start of the Q1 2026 earnings season

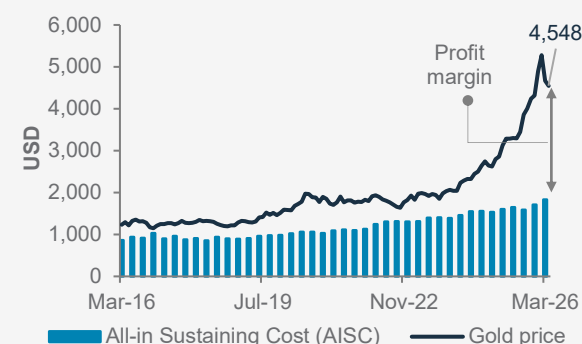
Consensus earnings growth estimate by S&P500 sectors on 24-April and 1-April



Source: LSEG I/B/E/S, Standard Chartered

Gold prices are outrunning rising costs. Gold miners likely to enjoy expanding profit margins

Gold prices and all-in sustaining costs (AISC)*



Source: Bloomberg, Standard Chartered

*AISC data as of 31-Mar-2026

Top client questions (cont'd)

Q What is your view on the US materials sector, given the strong commodity price performance of late?

Our view: *We maintain a Neutral stance on the US materials sector but are selectively focusing on gold miners.*

Rationale: The recent outperformance is primarily in the metals and mining segment, underpinned by **rising commodity prices** and **capex momentum**. The incremental demand from AI infrastructure and the energy transition are generating meaningful demand for copper and aluminium. This has also contributed to **strong earnings momentum** – consensus 12-month forward earnings growth for the US materials sector is now 27.9%, up from 20.6% earlier this year, marking one of the strongest near-term trends across sectors.

However, the chemical industry and the rest of the segments continue to weigh on a more positive view due to modest earnings growth. The ongoing Middle East conflict has resulted in higher oil prices, which is seen as negative for the chemicals segment, particularly speciality chemicals. This may compress margins due to **rising feedstock costs** while **reducing industrial and consumer demand**. We view gold miners as an effective way to gain sector exposure, in line with our Opportunistic outlook, and see the recent short-term retreat in gold prices as a potential entry opportunity.

— **Jason Wong**, Senior Equity Analyst

Q Do Gulf Cooperation Council (GCC) region bonds offer investment opportunities?

Our view: *We see selective GCC bond opportunities, favouring investment-grade (IG) sovereigns and the regional large banks sector. We remain cautious on the property sector.*

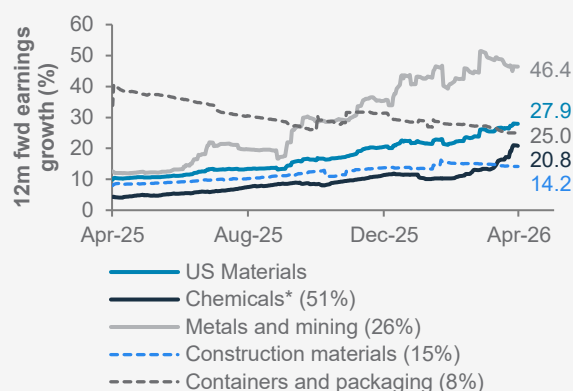
Rationale: Global bond yields have risen year to date (YTD) amid elevated inflation expectations and a greater likelihood of tighter monetary policy. Within the GCC, both conventional and Islamic bonds (sukuk) have underperformed global benchmarks YTD.

Risk premia have risen modestly amid the Middle East conflict. We believe this repricing has created **selective entry points** for investors comfortable with near-term volatility. We see one potential opportunity in **IG sovereigns** with **short-to-medium maturities**, where spreads compensate for potential headline risk amid resilient credit quality. A second area we are constructive is **the regional large banks sector**. While capital outflow and asset quality deterioration are risks to monitor, GCC banks' domestic focus and sovereign- and quasi-sovereign-funded deposit base provide meaningful resilience, making their bonds attractive at current spread levels. However, we are **cautious on the property sector** given the relatively greater vulnerability of the sector's bonds to a regional cyclical slowdown.

— **Cedric Lam**, Senior Investment Strategist

The 12-month forward consensus growth of the US materials sector has risen to 27.9%, led by the metals and mining industry

Consensus 12m forward earnings growth estimate for MSCI US Materials sector and its sub-indices

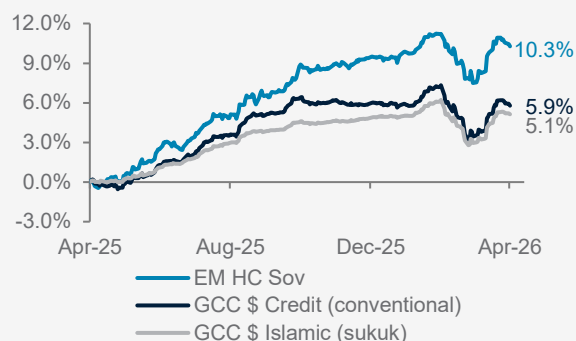


Source: FactSet, Standard Chartered

*(Weighting of the materials sector)

Conventional and Islamic GCC bonds have underperformed broader Emerging Market bonds this year amid the Middle East conflict

12-month return of Bloomberg EM USD Sov + Quasi Sov 10% capped, GCC USD Credit + HY, GCC USD Sukuk Indices



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Does the Bank of Japan's (BoJ's) latest decision to hold its policy rate at 0.75% alter your tactically bullish view on the JPY?

Our view: Upward revision in inflation estimates and growing dissent among BoJ policymakers support our view that the BoJ will hike rates by 50bps to 1.25% by December, in line with money market pricing and our bearish USD/JPY stance.

Rationale: USD/JPY remained rangebound following the BoJ decision, exhibiting only a slight bearish bias due to the absence of any unexpected policy moves. Although the BoJ has revised its inflation expectations upwards – an adjustment that would typically bolster the JPY – the positive effect is tempered by persistent concerns about economic growth and the potential risk of stagflation.

From a technical perspective, **USD/JPY upside appears limited**, with resistance evident in the 160-162 zone, which saw intervention from authorities two years ago. Immediate support lies at 157.2 (the 100-day moving average). We expect USD/JPY to fall towards 152 over a 12-month period as the BoJ eventually hikes rates, while we expect the Fed to cut rates to support the US job market. **Key risks to our view:** i) Middle East conflict escalation, which could increase haven demand for the USD and ii) a more hawkish Fed at its upcoming meeting. However, neither scenario is our base case.

— Iris Yuen, Investment Strategist

Q What are the implications of the UAE's decision to leave the Organization of the Petroleum Exporting Countries (OPEC)?

Our view: The UAE's decision could ultimately result in higher crude oil output, raising downside risks to oil prices long-term, but the near-term picture remains unchanged.

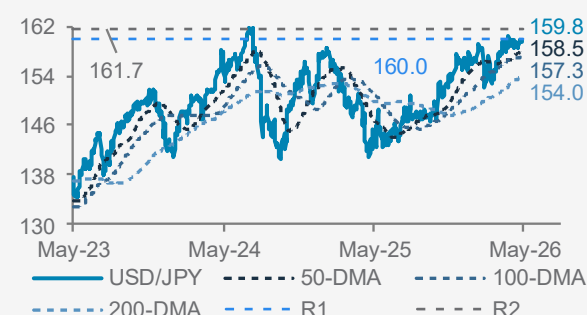
Rationale: The UAE's exit from OPEC opens the door for it to raise its crude oil output. While output is currently limited under OPEC quotas, energy specialists estimate UAE output could rise by up to 1-1.5mbpd (million barrels per day) if its capacity is fully utilised.

Negligible short-term impact is expected, given the real constraint today remains the Hormuz Strait closure. We therefore maintain our **three-month WTI oil price forecast at USD 80-90/bbl**. However, once geopolitical tensions and challenges around fully restarting regional oil output are behind us, higher UAE output would likely result in higher global crude oil output, relative to pre-conflict levels. This arguably raises downside risks to our 12-month USD 70/bbl forecast. Having said that, the **UAE's departure also takes away a significant share of OPEC spare capacity** – the majority of which sat with the UAE and Saudi Arabia. This raises the risk of higher oil price volatility relative to the pre-conflict period.

— Manpreet Gill, Chief Investment Officer, AMEE

USD/JPY upside is likely capped at 160-162

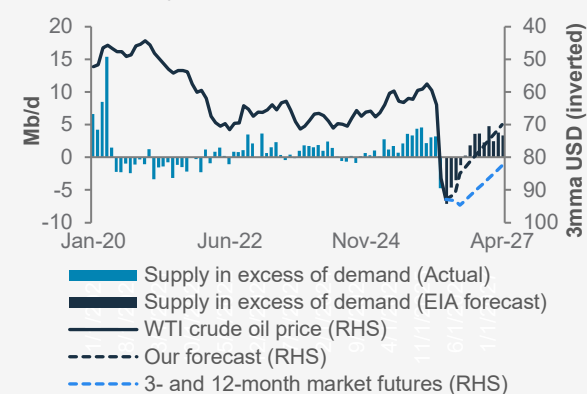
USD/JPY and technical levels



Source: Bloomberg, Standard Chartered

Higher crude oil output from the UAE is raising downside risks to oil prices over the long-term

WTI crude oil spot prices and forecast; total world crude oil supply vs. demand



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is your takeaway from the latest Fed policy meeting?

Our view: *The Fed is likely to hold rates in the next few meetings amid heightened uncertainty due to the Middle East conflict. As Chair Warsh takes charge, we expect the Fed to cut its policy rate by 25bps by December to support a soft job market.*

Rationale: The Fed held rates at 3.75%, as widely expected, but the meeting revealed the deepest internal divisions since October 1992. The 8-4 vote saw three members – Cleveland's Beth Hammack, Minneapolis's Neel Kashkari, and Dallas's Lorrie Logan – support holding rates but push to remove language implying future cuts. Trump appointee Stephen Miran dissented in favour of a 25bps cut.

The dissent centred on the word "additional" in the post-meeting statement, which implied rate cuts remain the next likely move. Several policymakers have argued since January that language should also leave room for a potential hike. Despite this, the phrase was retained, though officials did acknowledge the "high level" of uncertainty stemming from the Middle East conflict.

Chair Powell signalled a more neutral committee stance. However, he added "a majority of us didn't feel like we needed to send a signal right now." Markets reacted hawkishly – the US 2-year bond yield rose as much as 11bps to 3.95% on Wednesday, and the USD index (DXY) climbed 0.4% to 99.05, as markets priced a rate hike in 2027.

On Fed independence, Powell, in what may be his final meeting as Chair, vowed to remain as a Fed Governor at least until an investigation into the Fed's renovation project concludes. Powell's term as Governor ends in January 2028. He called Trump's personal attacks "unprecedented in our 113-year history," warning they risk undermining the Fed's ability to conduct apolitical monetary policy. His decision to stay denies Trump appointees a majority in the seven-member Fed Board. Besides Warsh, Trump's appointees to the Fed Board are Chris Waller and Michelle Bowman.

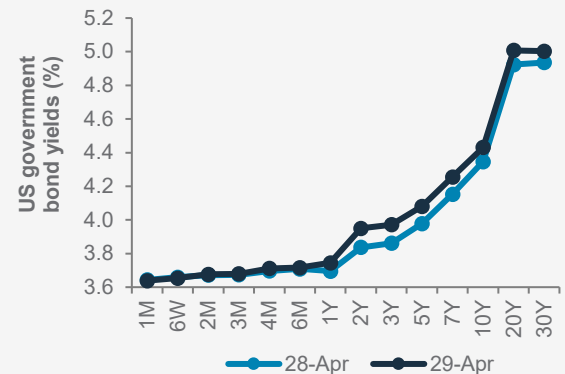
On the economic outlook, the US job market remains in a "low-hiring, low-firing" mode, making it vulnerable to shocks. Near-term inflation is elevated, driven by oil prices which surged above \$108/bbl this week as Trump vowed to extend the Hormuz Strait blockade. However, long-term inflation expectations remain anchored near 2%.

Our base case is for the Fed to hold rates over the next few meetings, but eventually cut 25bps cut to 3.5% by December 2026, as energy costs weigh on consumption and the labour market cools. Thus, we would use the latest selloff on bonds to lock in attractive yields, especially in the 5-7-year horizon. We remain bullish on US inflation-protected bonds to hedge against near-term inflation risks. We also expect the USD index to weaken towards 96 over the next 12 months as the Fed cuts rates.

— Rajat Bhattacharya, Senior Investment Strategist

The US yield curve shifted up, with biggest rise in the 2-3-year range, as markets viewed the growing Fed dissents as hawkish

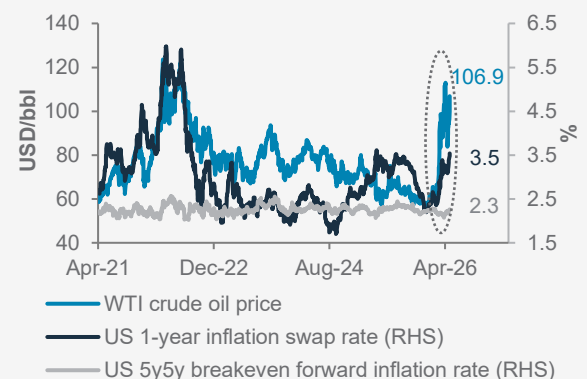
US government bond yields across various tenures



Source: Bloomberg, Standard Chartered

While US near-term inflation expectations have surged, long-term expectations remain anchored

US WTI crude oil price, 1-year and 5-year inflation expectations



Source: Bloomberg, Standard Chartered

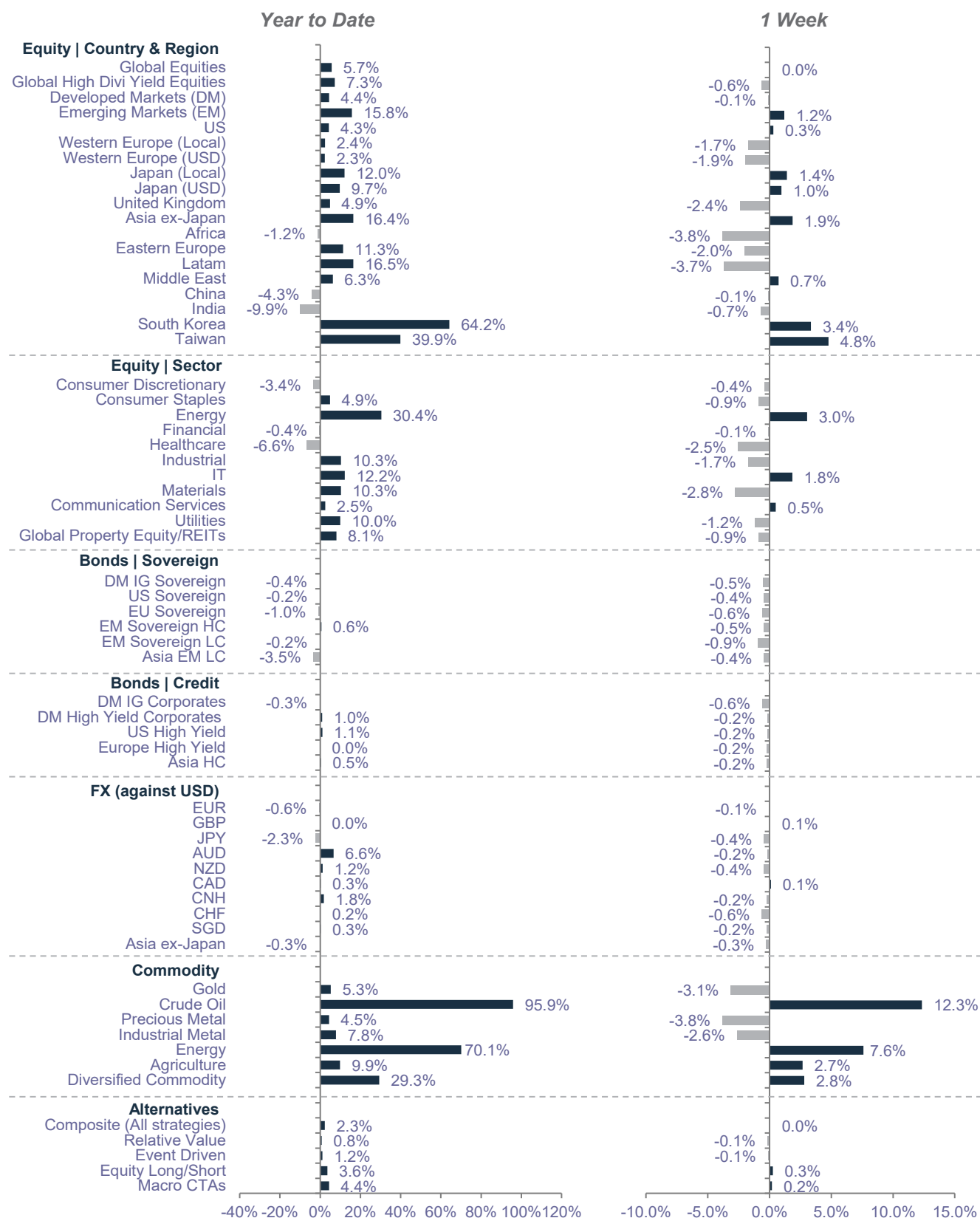
We see the recent hawkish turn in market pricing as an opportunity to lock in 5-7-year bond yields

Money market estimates of Fed rate in Dec-26



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 29 April 2026; 1-week period: 23 April 2026 to 29 April 2026

Our 12-month asset class views at a glance

Asset class	
Equities	▲
US	▲
Europe ex-UK	▼
UK	▼
Asia ex-Japan	▲
Japan	◆
Other EM	◆
Bonds	◆
Credit	
Asia USD	◆
Corp DM HY	◆
Govt EM USD	▲
Corp DM IG	◆
Govt	
Govt EM Local	▲
Govt DM IG	▼

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,437

Technical indicators for key markets as of 29 Apr close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,136	6,576	7,437	20.7	1.2
STOXX 50	5,816	5,509	6,099	14.9	3.2
FTSE 100	10,213	9,885	10,615	12.7	3.5
TOPIX	3,772	3,556	3,906	17.1	2.3
Shanghai Comp	4,108	3,948	4,191	13.8	2.9
Hang Seng	26,112	24,838	26,958	11.2	3.3
Nifty 50	24,178	22,706	25,125	18.5	1.7
MSCI Asia ex-Japan	1,060	948	1,121	12.3	2.1
MSCI EM	1,618	1,458	1,710	11.7	2.5
Crude oil (WTI)	106.9	85.8	122.8	na	na
Gold	4,548	4,349	4,818	na	na
UST 10Y Yield	4.43	4.29	4.50	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period	Expected	Prior
MON	EUR Sentix Investor Confidence	May	–	-19.2
TUE	AUD RBA Cash Rate Target	5-May	–	4.1%
	USD Trade Balance	Mar	-\$59.7b	-\$57.3b
	USD ISM Services Index	Apr	53.9	54.0
	USD New Home Sales	Mar	668k	–
	USD JOLTS Job Openings	Mar	6700k	6882k
WED	CNH RatingDog China PMI Composite	Apr	–	51.5
	CNH RatingDog China PMI Services	Apr	–	52.1
	EUR PPI y/y	Mar	–	-3.0%
	USD ADP Employment Change	Apr	–	62k
THU	JPY BOJ Minutes of March Meeting	–	–	–
	EUR Retail Sales y/y	Mar	–	1.7%
FR/SAT	USD Change in Nonfarm Payrolls	Apr	63k	178k
	USD Unemployment Rate	Apr	4.3%	4.3%
	USD U. of Mich. Sentiment	May P	48.8	49.8
	CNH Exports y/y	Apr	–	2.5%
	CNH Imports y/y	Apr	–	27.8%
	CNH Trade Balance	Apr	–	\$51.13b

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 29 Apr close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.02
Global Equities	●	→	1.82
Gold	●	↓	1.43
Equity			
MSCI US	●	→	1.75
MSCI Europe	●	↓	1.67
MSCI AC AXJ	●	↑	1.67
Fixed Income			
DM Corp Bond	●	↓	1.88
DM High Yield	●	↑	2.50
EM USD	●	→	2.08
EM Local	●	↓	1.60
Asia USD	●	↑	2.21
Currencies			
EUR/USD	●	→	1.46

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

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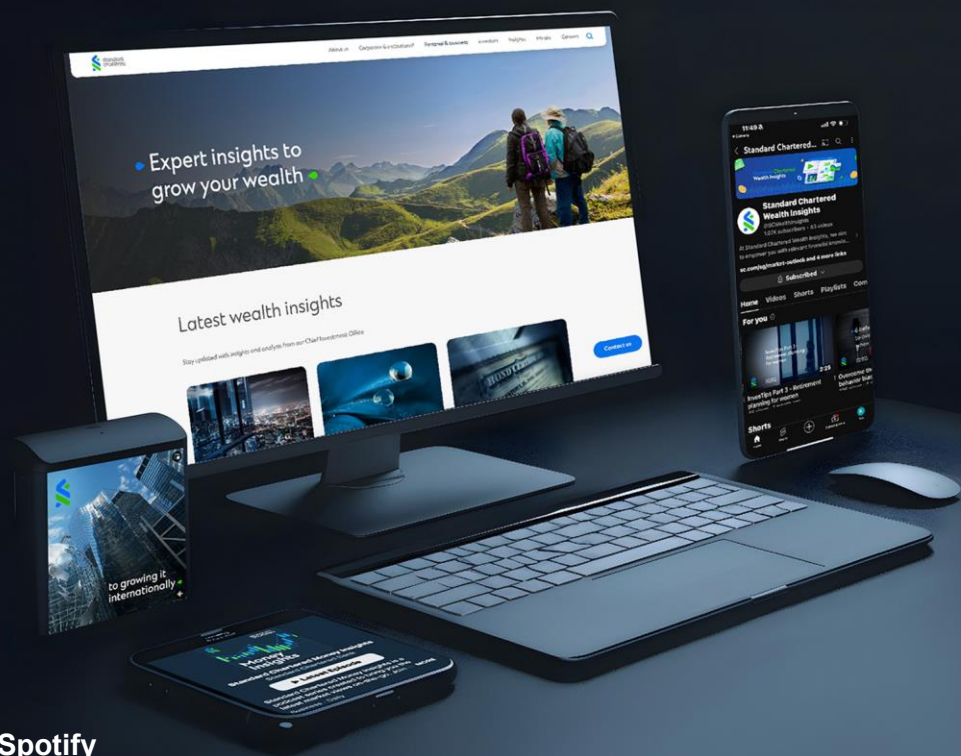
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and Apple platforms



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